REFERENCE DOCUMENT

Microsoft Agent 365

The enterprise control plane for AI agents — what it is, what it isn't, its five pillars, who it speaks to, and where it stands today.

Frontier Preview · Nov 2025 | SDK: Functional | Admin UI: Partial | GA: TBD 2026

01 — DEFINITION

What is Agent 365?

Agent 365 is to AI agents what Entra ID is to human users.

It is the governance infrastructure that gives every AI agent in your organisation an identity, access policy, security posture, and audit trail — the same way Active Directory does for people.

THE PROBLEM IT SOLVES

AI Agent Sprawl

As organisations deploy AI agents built on different platforms — Copilot Studio, Azure AI Foundry, LangChain, SAP, ServiceNow — there is no central place to see what agents exist, what they can access, who owns them, or whether they are behaving safely. Agent 365 is Microsoft's answer to this governance gap.

THE CORE METAPHOR

Think of it as HR + IT Security for Agents

When a new employee joins, IT creates their account, assigns a manager, grants least-privilege access, and monitors activity. Agent 365 does **the same lifecycle** for AI agents — including assigning a human **sponsor** who is accountable for the agent's behaviour in Microsoft Defender for Cloud.

Agent 365 is NOT

- × A complete turnkey SaaS product (yet)
- × A replacement for Copilot Studio or Azure AI Foundry
- × A framework for building agents
- × A chatbot platform or LLM service
- × A portal you can just log into and have everything work today
- × The same as the Microsoft 365 Agents SDK

Agent 365 IS

- ✓ A governance control plane layered on top of any agent
- ✓ Platform-agnostic — works with any framework or cloud
- ✓ An SDK + CLI + emerging Admin Center UI
- ✓ The infrastructure that connects agents to Entra, Defender, Purview
- ✓ Currently available to Frontier programme tenants via SDK + CLI
- ✓ Developer-first today; admin UI coming in 2026

02 — ARCHITECTURE

How it fits together

USER / CHANNEL LAYER

CHANNEL
Microsoft Teams
@mention agentic user

CHANNEL
Outlook / Email
agent mailbox

CHANNEL
M365 Copilot Chat
agent store

CHANNEL
Custom Surface
web, API, bot emulator

↓ POST /api/messages (JWT authenticated)

MICROSOFT 365 AGENTS SDK LAYER

HOSTING + PROTOCOL
CloudAdapter + AgentApplication
JWT validation · Activity routing · TurnContext · send_activity()

STATE
MemoryStorage
or BlobStorage in prod

↓

AGENT FRAMEWORK LAYER (LLM Brain)

ORCHESTRATION
Agent.run() — Microsoft Agent Framework
Successor to Semantic Kernel + AutoGen · Tool calling loop · Azure OpenAI Responses API

TOOLS
@tool functions
JSON Schema auto-generated · MCP servers in prod

↓

AGENT 365 SDK LAYER — GOVERNANCE

IDENTITY
Entra Agent ID
Blueprint · Agentic User · Managed Identity

OBSERVABILITY
OTel Pipeline
configure() · BaggageBuilder · Instrumentor

SECURITY
Prompt Shields
Pre-LLM jailbreak scan · Defender logs

TOOLING
MCP Gateway
Outlook · Teams · SharePoint · OneDrive

↓

MICROSOFT CLOUD — ENFORCEMENT LAYER

Microsoft Entra
Identity enforcement

Microsoft Defender
AI threat protection

Microsoft Purview
DLP · compliance · audit

Application Insights
OTel ingestion · traces

M365 Admin Center
Registry UI (partial)

```
a365.config.json wires CLI to the cloud · a365 setup all provisions Entra
resources · a365 publish registers blueprint in Admin Center
```

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03 — THE FIVE PILLARS

Official capabilities (Ignite 2025)

01 / 05

Registry

"What agents exist in my organisation?"

- Central inventory of all agents — including shadow agents
- Entra Agent Blueprint as IT-approved template
- Agent Store for discovery and activation
- Quarantine and retirement controls
- Ownerless agent detection and triage

Partial in Admin Center

02 / 05

Access Control

"What is this agent allowed to do?"

- Entra Agent ID — least-privilege by default
- Agentic User identity (UPN, mailbox, org chart)
- Conditional access policies for agents
- Blueprint-scoped MCP tool permissions
- Zero-secret auth via Managed Identity / FIC

Requires SDK + CLI

03 / 05

Visualizati

"What is this agent actually doing?"

- OTel spans: LLM calls, tool calls, latency
- BaggageBuilder — tenant + agent + correlation tags
- AgentFrameworkInstr — auto-instrumentati
- Application Insights + Admin Center dashboard
- Agent ↔ people ↔ data connection map

SDK functional · UI partial

04 / 05

Interoperc

"What can this agent participate in?"

- Works with Copilot Studio, Foundry, LangChain, OpenAI SDK
- Third-party: Adobe, SAP, ServiceNow, Workday
- MCP servers: Outlook, Teams, SharePoint, OneDrive, Word
- @mention in Teams, Outlook, Word like a human
- A2A (Agent-to-Agent) protocol support

MCP servers in preview

05 / 05

Security

"Is this agent safe to run?"

- Prompt Shields — pre-LLM jailbreak + XPIA detection
- Defender for Cloud AI threat protection
- Purview DLP — blocks prompts with sensitive data
- Purview Insider Risk — agent-specific risk indicators
- Human sponsor (manager) accountable in Defender

Prompt Shields functional · Defender partial

04 — DEEP DIVE

What each pillar includes in practice

01

Registry

Single source of truth for the agent inventory across the entire tenant.

WHAT IT CREATES

- Agent Blueprint in Entra (IT-approved template)
- Blueprint visible at admin.cloud.microsoft/#/agents/all
- Agent listing in M365 Agent Store
- Ownerless agent detection workflow

CONFIG FILE CONNECTION

- `agentBlueprintDisplayName` — the blueprint name in Admin Center
- `agentDescription` — shown in Agent Store listing
- `webAppName` — service identity label in dashboards

```
Activated by: a365 publish
```

02

Access Control

The deepest pillar. Gives the agent a real identity with enforceable permissions.

WHAT IT CREATES IN ENTRA

- Entra Agent Identity (app registration)
- Agentic App Instance (deployment record)
- Agentic User — real user object with UPN + mailbox
- Workload Identity / Federated Identity Credential
- Conditional access policies applicable to the agent

CONFIG FILE CONNECTION

- `agentUserPrincipalName` — the agentic user UPN in Entra
- `managerEmail` — human sponsor, accountable in Defender
- `clientAppId` — the CLI's Entra app for provisioning
- `agentUserUsageLocation` — data residency compliance

```
Activated by: a365 setup all
```

03

Visualization

The most complete pillar in code today. OTel feeds the Admin Center dashboard.

SDK COMPONENTS (FULLY FUNCTIONAL)

- `configure()` — initialises OTel TracerProvider
- `AgentFrameworkInstrumentor` — auto-instruments Agent.run()
- `BaggageBuilder` — attaches tenant_id + agent_id + correlation_id to every child span
- Every LLM call + tool call = named OTel span → Application Insights

WHAT IT FEEDS

- Application Insights: full distributed trace, latency, token counts
- Agent 365 Admin Center: real-time invocation / error dashboard
- Microsoft Sentinel: agent activity correlation for SIEM

```
Works today via SDK · Admin UI: partial (Q1-Q2 2026)
```

04

Interoperability

The business value pillar. Agents as first-class citizens of the M365 ecosystem.

PLATFORM COVERAGE

- Copilot Studio (low-code), Azure AI Foundry, Agent Framework
- LangChain, OpenAI Agents SDK, CrewAI
- Adobe, SAP, ServiceNow, Workday, Databricks
- Any cloud: Azure, AWS, GCP

M365 MCP SERVERS (FRONTIER PREVIEW)

- Outlook Mail: create, search, reply, delete messages
- Outlook Calendar: create / manage events
- Teams: post messages, manage chats and channels
- SharePoint / OneDrive: upload files, search, manage lists
- Word: create and edit documents

```
Agentic user: [email_protected]
```

05

Security

The trust pillar. Defence-in-depth before, during, and after LLM execution.

RUNTIME (SDK — FUNCTIONAL TODAY)

- Prompt Shields — pre-LLM scan for direct attacks (jailbreaks) + XPIA
- REST endpoint: `/contentsafety/text:shieldPrompt`
- Structured Defender audit log on every scan and block
- Human sponsor (`managerEmail`) receives Defender alerts

PLATFORM (FRONTIER / COMING)

- Defender for Cloud AI Threat Protection — auto-ingests agent logs
- Purview DLP — blocks prompts containing sensitive data (PII, CC)
- Purview Insider Risk Management — agent-specific risk scoring
- Conditional access: exempt from MFA, governed by policy

```
Sponsor: [email protected]
```

05 — AUDIENCE

Who cares about what

Developer / Architect

"I build and deploy the agents."

WHAT THEY CARE ABOUT

- → How to wire the SDK into existing agent code
- → a365 CLI lifecycle: config → setup → deploy → publish
- → OTel auto-instrumentation with zero boilerplate
- → Managed Identity replacing API keys in production
- → MCP server integration for M365 tool access
- → Agent Framework vs other SDKs

Access Control | Visualization | Interoperability | Security

IT Admin

"I govern what agents are allowed to do in my tenant."

WHAT THEY CARE ABOUT

- → Seeing ALL agents — including shadow/rogue ones
- → Blocking or quarantining non-compliant agents
- → Which MCP servers agents can access
- → Ownerless agent triage workflow
- → Blueprint activation and instance management
- → Admin Center: Copilot → Agents → All Agents

Registry | Access Control | Visualization

CISO / Security

"I need to know agents aren't a security liability."

WHAT THEY CARE ABOUT

- → Are agents being attacked? (Prompt Shields telemetry)
- → Human sponsor accountability for every agent
- → DLP enforcement on agent prompts and responses
- → Defender AI threat alerts and investigation
- → Audit logs for every tool call and data access
- → Conditional access policies for agentic users

Security | Access Control | Visualization

Business Owner / CxO

"I want AI agents deployed fast without governance risk."

WHAT THEY CARE ABOUT

- → Agent ROI — usage, performance, adoption metrics
- → We can use Copilot Studio / existing tools (not rewrite)
- → Agents appear like digital employees in the org chart
- → Microsoft manages security compliance overhead
- → Single governance system across all agent vendors

Registry | Visualization | Interoperability

Compliance / Legal

"Agents must be auditable and data-safe."

WHAT THEY CARE ABOUT

- → Full audit trail for every agent action
- → Purview DLP covering agent prompt/response data
- → Data residency — agentUserUsageLocation compliance
- → Insider Risk Management indicators for agents
- → Retention policies applied to agent conversations

Security | Visualization | Access Control

End User / Knowledge Worker

"I just want to use the agent in my daily tools."

WHAT THEY CARE ABOUT

- → @mention the agent in Teams like a colleague
- → Agent appears in org chart and people search
- → Agent can read/send emails and schedule meetings
- → Discover agents in M365 Copilot Agent Store
- → Agents are trustworthy — someone is accountable

Interoperability | Registry

06 — REALITY CHECK

What actually works today (March 2026)

CAPABILITY	STATUS	HOW TO GET IT	NOTES
Entra Agent Blueprint creation	Works	`a365 setup all`	Requires Frontier tenant + CLI
Agentic User (UPN, mailbox, org chart)	Partial	`a365 setup all`	Created in Entra; Teams @mention limited in preview
OTel observability (BaggageBuilder, Instrumentor)	Works	Agent 365 SDK	Spans flow to App Insights today
Prompt Shields (jailbreak detection)	Works	Agent 365 SDK + Content Safety endpoint	GA API since 2024; Frontier not required
Agent Registry in M365 Admin Center	Partial	After `a365 publish`	Visible but limited management actions
MCP servers (Outlook, Teams, SharePoint)	Preview	Agent 365 SDK + Frontier	Available in Frontier; not GA
Defender AI threat protection (automatic)	Partial	Frontier programme	Some signals; full integration coming
Agent Dashboard (metrics UI)	Delayed	Admin Center	Was targeting Feb 2026 GA; status unclear
Purview DLP for agent prompts	Preview	Purview + Frontier	Public preview; GA targeted Q1 2026
Full no-code Admin Center governance	Not yet	Future	SDK required for full story today

07 — MENTAL MODELS

How to explain it to anyone

ENTRA ID — HUMAN GOVERNANCE

User account created	Active Directory
Manager assigned	HR + Entra
Least-privilege access	RBAC + Conditional Access
MFA enforced	Entra MFA
Activity monitored	Defender / Purview
Can be offboarded	Account disabled

→

same model

AGENT 365 — AGENT GOVERNANCE

Agentic User created	a365 setup all
Human sponsor assigned	managerEmail in config
Least-privilege MCP scopes	Blueprint permissions
MFA exempt (can't have factors)	Conditional Access policy
Activity monitored via OTel	Visualization pillar
Can be quarantined / retired	Admin Center registry

Agent 365 is governance infrastructure, not a product you can just log into. The SDK is the only complete story today. The Admin Center UI is growing on top of it — and you are building on the SDK at the earliest possible stage.

FOR A CTO / CISO

"Agent 365 is the enterprise identity and governance system for AI agents — the same way Entra ID governs human users."

FOR A DEVELOPER

"It's a governance SDK you bolt onto any agent — Entra identity, OTel observability, Prompt Shields, and governed MCP tool access — without changing your agent's logic."

FOR AN EXECUTIVE

"Right now, AI agents in your company are like contractors with no employee records and no access badges. Agent 365 is the HR and security system for those agents."

Microsoft Agent 365 — Reference Document
Based on Ignite 2025 announcements · Frontier Preview · March 2026
Tenant: SCIPCP05985001.onmicrosoft.com · Blueprint: weatheragent365